

What counts as investment?

Use opportunity cost, liquidity, risk and return to classify personal financial decisions.

IGCSE bridge: In IGCSE macroeconomics, **investment** usually means spending on capital goods. **Saving** is the part of income not consumed. This handout uses **financial investment** when it classifies personal financial decisions. / 本讲使用个人金融分类。

Definitions for financial decisions / 个人金融定义

Investment 投资	In this handout, financial investment means putting money into an asset to earn a total return. The expected return is supported mainly by income, productive activity or evidence about underlying value. The investor accepts a possible loss. Key clue: income or productive return / 收入或生产性回报 Examples • Shares bought after analysing profits and dividends • A bond chosen for interest and repayment after checking credit risk • Property assessed using expected net rent
Speculation 投机	Speculation means taking a position mainly because you predict a price movement or uncertain event. Profit depends mainly on the prediction being correct. In this course, classify speculation separately from financial investment. Key clue: the prediction must be correct / 预测必须正确 Examples • Shares bought after an unverified takeover rumour • Gold bought mainly for a rapid resale gain • Currency bought before a predicted policy-announcement price move
Saving 储蓄	Saving means not spending some income now and keeping the money for future use. The main priorities are capital preservation and liquidity. Earning interest does not by itself make saving a financial investment. Key clue: safety and ready access / 安全性和随时取用 Examples • An emergency fund in an instant-access account • Examination fees held in a protected deposit • A short-term cash buffer that earns modest interest

Classify by the main clue / 按主要线索分类

Main clue 主要线索	Classify as 分类
Expected return comes mainly from income, productive activity or evidence about underlying value.	Financial investment 金融投资
Expected profit depends mainly on a predicted price movement or uncertain event.	Speculation - separate category 投机
Capital preservation and liquidity are the main priorities.	Saving - separate category 储蓄

Investment or speculation?

Use evidence and the expected source of payoff; the asset name, risk and time horizon do not decide alone.

Core comparison / 核心比较

Criterion	Financial investment 金融投资	Speculation 投机
Main expected payoff 回报来源	Expected total return comes mainly from income (dividends, interest or rent) and/or evidence-supported growth in underlying value.	Expected profit comes mainly from a predicted price movement or uncertain event.
Evidence used 使用的证据	The decision uses profits, cash flow, debt, valuation and diversification.	Timing, momentum, rumours or one event dominate the decision.
Role of resale 转售的作用	Resale may matter. The return is not based only on a short-term price forecast.	Profit mainly depends on selling after the predicted price move.
Risk and horizon 风险与期限	It can be risky and short or long term. Evidence still supports the expected total return.	Risk is concentrated in the forecast or event. High risk or a short time horizon alone does not decide.
Same asset? 相同资产?	Shares, bonds, property or gold can be used for financial investment.	The same assets can be used for speculation. The decision and payoff source matter.

Classify and justify with the payoff source / 按回报来源分类并说明理由

Decision	Classify and justify
Amina compares a company's profits, cash flow and debt. She then buys a diversified group of shares. She expects dividends and long-term business growth to provide the return.	WORKED EXAMPLE <i>Financial investment</i>
Bao borrows money after an online rumour predicts a higher share price next week. He plans to sell immediately after a government announcement.	Category + economic reason
Chloe estimates rent, maintenance and vacancy costs before buying a flat. She expects net rent to be the main source of return.	Category + economic reason

Investment or saving?

Use purpose, capital-loss risk and liquidity; postponing consumption occurs in both categories.

Core comparison / 核心比较

Criterion	Financial investment 金融投资	Saving 储蓄
Main purpose 主要目的	Seek an uncertain total return from an asset.	Keep money for planned or emergency use.
Capital loss 资本损失	Market value may fall, so some capital may be lost.	Capital preservation is the priority. Inflation may still reduce real purchasing power.
Liquidity 流动性	Money may be harder to access quickly, or selling may involve price risk.	Ready access is a main priority.
Expected return 预期回报	Income and capital growth are uncertain; a higher return is sought.	Interest may be modest and predictable. Interest alone does not make it a financial investment.
Opportunity cost 机会成本	Current consumption is postponed to seek a risk-adjusted return.	Saving also postpones current consumption. This fact alone does not decide the category.

Same future goal, different economic choice / 相同目标，不同选择

Decision	Classify and justify
Daniel needs his examination fees in eight months. He keeps the money in a protected easy-access account because liquidity and capital preservation matter most.	WORKED EXAMPLE <i>Saving</i>
Eva plans for university costs in ten years. She buys a diversified fund after studying its fees and risks. She accepts that its market value may fall.	Category + economic reason
Farah keeps an emergency fund in an instant-access bank account. Quick withdrawal matters more to her than a higher expected return.	Category + economic reason
George buys a bond fund for retirement. He examines interest income, default risk and fees. He accepts possible changes in market value.	Category + economic reason

Use an economist's decision rule

Ask the questions in order. If evidence is insufficient, do not force a category.

Step 步骤	Ask	If yes
1	Are capital preservation and liquidity the main priorities?	Saving 储蓄
2	If return is the goal, is it supported mainly by income, productive activity or evidence about underlying value?	Financial investment 金融投资
3	Does profit depend mainly on predicting a price movement or uncertain event?	Speculation 投机

Correct each inaccurate claim / 改正不准确的说法

Inaccurate claim	More accurate correction
Saving is the part of income not consumed, so every act of saving is a financial investment.	
Buying an existing share directly adds to the economy's capital goods.	
Any high-risk, short-term decision is speculation.	

MCQs / 选择题

1. In IGCSE macroeconomics, which action is most clearly investment?

- A. A household places wages in an easy-access account.
- B. A firm buys a new machine for production.
- C. A consumer buys an existing share from another investor.
- D. A bank pays interest on a deposit.

2. Which decision is saving rather than financial investment?

- A. Keeping examination fees in a protected easy-access account.
- B. Buying a diversified fund while accepting possible capital loss.
- C. Buying shares after analysing profits, debt and cash flow.
- D. Buying property mainly for expected net rent.

3. Which evidence most clearly indicates speculation?

- A. Expected bond interest after analysing default risk.
- B. Expected net rent after estimating vacancy and maintenance.
- C. Borrowing after a rumour of a next-week price jump and planning a quick sale.
- D. Accepting that a diversified long-term fund can lose value.